

BBM PRO The Foundation Course for Beginners

History of Indian Banking : Aarambh

What is Bank?

- A Financial Organisation which is involved in Banking as per the Banking Regulation Act, 1949.

What is Banking?

- The Process of Accepting deposits from public, with the facility to withdraw on demand, payable through cheque* and providing loans to the public is called as Banking.

Important Points

Madras Bank

- It was India's First Bank established in 1683 and was later merged into Bank of Madras and eventually SBI

Grindlays Bank

- Comptoir national d'escompte de Paris was the first foreign bank in India established in 1860

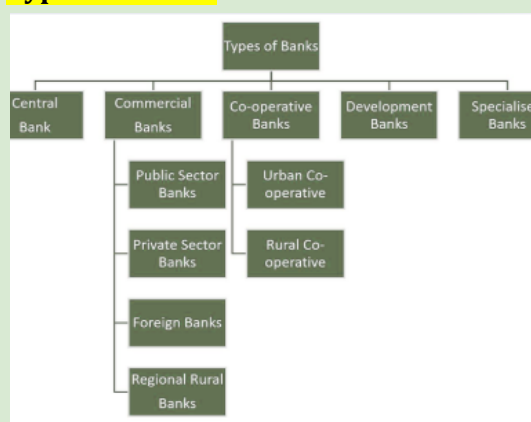
Oudh Commercial Bank

- Oudh Commercial bank was India's first Joint Stock Bank established in Faizabad, Uttar Pradesh

Central Bank of India

- It was the first commercial Indian bank completely owned and managed by Indians "Swadeshi"

Types of Banks:



INDIAN BANKING SYSTEM

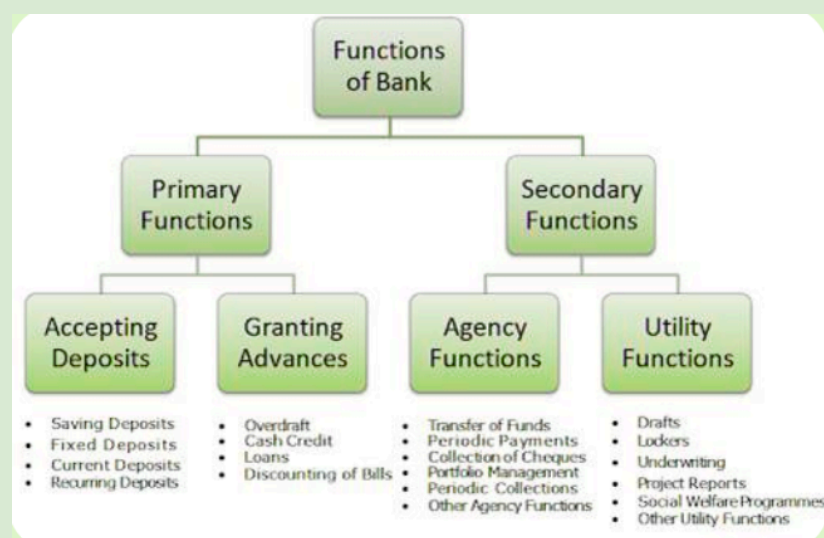
- INDIAN BANKING IS REGULATED AND MANAGED BY THE RESERVE BANK OF INDIA :
 - Scheduled Banks
 - Non-Scheduled Banks
 - R-NBFCs and Housing Finance Companies
 - Neo Banks and Payment Aggregators
- **Scheduled Banks**
 - These banks refer to those banks which have been included in the Second Schedule of Reserve Bank of India Act, 1934
 - Scheduled Commercial Banks and Scheduled Co-operative Banks
 - **Facilities**
 - It becomes eligible for debts/loans at the bank rate from the RBI
 - it automatically acquires the membership of clearing house.

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Basis	Scheduled Banks	Non-Scheduled Banks
Inclusion	Listed in the Second Schedule of RBI Act, 1934.	Not listed in the Second Schedule.
Capital Requirement	Minimum paid-up capital of ₹5 lakh.	No specific requirement.
CRR Maintenance	Maintain Cash Reserve Ratio (CRR) with RBI.	Maintain CRR with themselves.
Borrowing from RBI	Can borrow funds from RBI.	Can borrow only in emergencies.
Clearing House Membership	Automatic membership.	Not eligible.
Supervision	Strictly regulated by RBI.	Lesser degree of regulation.
Examples	SBI, HDFC Bank, PNB.	Local Area Banks, small UCBs.

			
RBI	State Bank of India	Nationalisation of Banks	Niche Banks and Neo Banks
RBI was established as Private Bank with a capital of 5 crore under RBI Act, 1934 on 1st April, 1935	Established as Imperial Bank of India in 1921, and renamed in 1955	The Government has nationalised Bank in India in two phases 19th July, 1969 15th April 1980	Niche Banks : Payment Banks and Small Finance Banks Neo Banks : Online only Banks



State Bank of India	1955	Mumbai, India
Punjab National Bank	1908	New Delhi, India
Bank of Baroda	1908	Gujarat, India
Canara Bank	1906	Bangalore, India
Union Bank of India	1919	Mumbai, India
Bank of India	1906	Mumbai, India
Indian Bank	1907	Chennai, India
Central Bank of India	1911	Mumbai, India
Indian Overseas Bank	1937	Chennai, India
UCO Bank	1943	Kolkata, India
Bank of Maharashtra	1935	Pune, India
Punjab & Sindh Bank	1894	Rajendra Place New Delhi, India

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PRIVATE SECTOR BANKS

PRIVATE BANKS ARE FINANCIAL INSTITUTIONS OWNED AND OPERATED BY PRIVATE SHAREHOLDERS, DRIVEN BY A PROFIT MOTIVE.

PRIVATISATION

Private Banks were setup after which some of them were nationalised.
However, in 1993, New Private Banks were given the license.

FEATURES

HQ : Within India
For Profit Organisation
Majorly owned by Private Sector
Two Types : Old and New Private Banks

PRIVATE BANKS

- 21 PRIVATE BANKS ARE WORKING RIGHT NOW IN INDIA

Private Sector Banks

- At present, India has 21 private sector banks recognized by the RBI. Some of the most prominent ones include:
- HDFC Bank: India's largest private sector bank known for innovation and retail lending
- ICICI Bank: Pioneered digital banking services and diversified financial products
- Axis Bank: Known for its strong corporate banking operations

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Bank name	Established	Headquarters			
Axis Bank	1993	Mumbai, Maharashtra	IDFC First Bank	2015	Mumbai, Maharashtra
Bandhan Bank	2015	Kolkata, West Bengal	IndusInd Bank	1994	Mumbai, Maharashtra
CSB Bank	1920	Thrissur, Kerala	Jammu & Kashmir Bank	1938	Srinagar, Jammu and Kashmir
City Union Bank	1904	Kumbakonam, Tamil Nadu	Karnataka Bank	1924	Mangaluru, Karnataka
DCB Bank	1930	Mumbai, Maharashtra	Karur Vysya Bank	1916	Karur, Tamil Nadu
Dhanlaxmi Bank	1927	Thrissur, Kerala	Kotak Mahindra Bank	2003	Mumbai, Maharashtra
Federal Bank	1931	Kochi, Kerala	Nainital Bank	1922	Nainital, Uttarakhand
HDFC Bank	1994	Mumbai, Maharashtra	RBL Bank	1943	Mumbai, Maharashtra
ICICI Bank	1994	Mumbai, Maharashtra	South Indian Bank	1929	Thrissur, Kerala
IDBI Bank	1964	Mumbai, Maharashtra	Tamilnad Mercantile Bank	1921	Thoothukkudi, Tamil Nadu
			Yes Bank	2004	Mumbai, Maharashtra

Public Sector vs Private Sector Banks Difference

Feature	Public Sector Banks	Private Sector Banks
Ownership	Majority owned by Government	Majority owned by private shareholders
Objective	Focus on social welfare and financial inclusion	Focus on profitability and customer satisfaction
Technology	Moderate technology adoption	Advanced digital banking and innovation
Customer Service	Traditional and process-driven	Fast, efficient, and customer-centric
NPAs	Relatively higher due to social lending	Comparatively lower due to stricter credit assessment
Job Security	Higher job stability	Lower job stability, performance-linked growth
Rural Presence	Extensive rural network	Limited rural coverage

Domestic Systemically Important Banks (D-SIBs)

- Domestic Systemically Important Banks (D-SIBs) under the Banking System in India refer to those banks that are 'Too Big to Fail (TBTF)'.

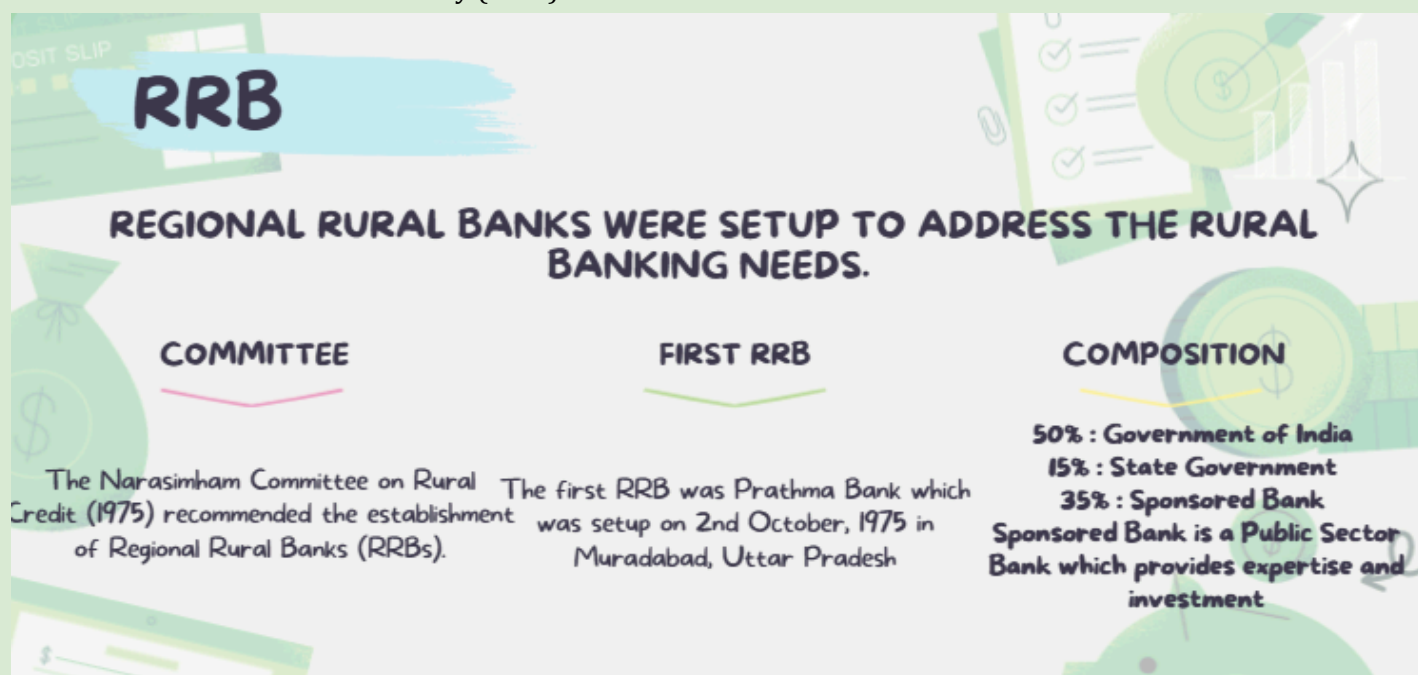
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- Due to this perception, these banks enjoy certain advantages in the funding markets.
- D-SIBs in India are recognized by the RBI under its framework issued in 2014.
- Usually, the banks whose assets exceed 2% of the GDP of India are considered as D-SIBs.
- As of now, the State Bank of India (SBI), ICICI Bank, and HDFC Bank have been identified as D-SIBs by the RBI.



- Foreign investment in public sector banks is capped at 20%, while private banks allow up to 74% under existing regulations.
- **Can foreign banks have operations in India?**
 - Yes. Foreign banks can either operate through branch presence or through 100% wholly owned subsidiary (WOS).



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Regional Rural Bank

- Recent Development
- Department of Financial Services (DFS) notified amalgamation of 26 RRBs.
- Based on the principle: "One State, One RRB".
- Legal Basis
- Done by the Central Government under powers of the Regional Rural Banks Act, 1976.
- **Post-Amalgamation Status**
 - This is the 4th phase of amalgamation.
 - Number of RRBs reduced from 43 to 28.
 - Coverage: 26 States + 2 Union Territories.
 - Regional Rural Bank
 - Authorised capital: ₹2,000 crore, divided into 200 crore fully paid shares of ₹10 each.
 - Subscribed capital: Equal to the combined subscribed capital of transferor RRBs, which is deemed transferred to the transferee RRB.
 - The entire share capital and share capital deposit of the transferee Regional Rural Bank shall be as under:



1.	Share Capital	
(a)	Central Government	Rupees sixty one crore twenty one lakh twenty eight thousand seven hundred ninety
(b)	State Government	Rupees eighteen crore thirty six lakh thirty eight thousand four hundred eighty
(c)	Sponsor Bank	Rupees forty two crore eighty four lakh ninety thousand one hundred thirty
2.	Share Capital Deposit	Nil

SL No.	RRB	State/UT	Head Office	Sponsor Bank
1	Andhra Pradesh Grameena Bank	Andhra Pradesh	Amravati	Union Bank of India
2	Arunachal Pradesh Rural Bank	Arunachal Pradesh	Naharlagun	State Bank of India
3	Assam Gramin Bank	Assam	Guwahati	Punjab National Bank
4	Bihar Gramin Bank	Bihar	Patna	Punjab National Bank
5	Chhattisgarh Gramin Bank	Chhattisgarh	Raipur	State Bank of India
6	Gujarat Gramin Bank	Gujarat	Vadodara	Bank of Baroda
7	Haryana Gramin Bank	Haryana	Rohtak	Punjab National Bank
8	Himachal Pradesh Gramin Bank	Himachal Pradesh	Mandi	Punjab National Bank
9	Jammu and Kashmir Grameen Bank	Jammu and Kashmir	Jammu	J and K Bank Ltd.
10	Jharkhand Gramin Bank	Jharkhand	Ranchi	State Bank of India

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SL No.	RRB	State/UT	Head Office	Sponsor Bank
11	Karnataka Grameena Bank	Karnataka	Ballari	Canara Bank
12	Kerala Grameena Bank	Kerala	Malappuram	Canara Bank
13	Madhya Pradesh Gramin Bank	Madhya Pradesh	Indore	Bank of India
14	Maharashtra Gramin Bank	Maharashtra	Chhatrapati Sambhajnagar	Bank of Maharashtra
15	Manipur Rural Bank	Manipur	Imphal	Punjab National Bank
16	Meghalaya Rural Bank	Meghalaya	Shillong	State Bank of India
17	Mizoram Rural Bank	Mizoram	Aizwal	State Bank of India
18	Nagaland Rural Bank	Nagaland	Kohima	State Bank of India
19	Odisha Grameen Bank	Odisha	Bhubaneswar	Indian Overseas Bank
20	Puducherry Grama Bank	Puducherry	Puducherry	Indian Bank

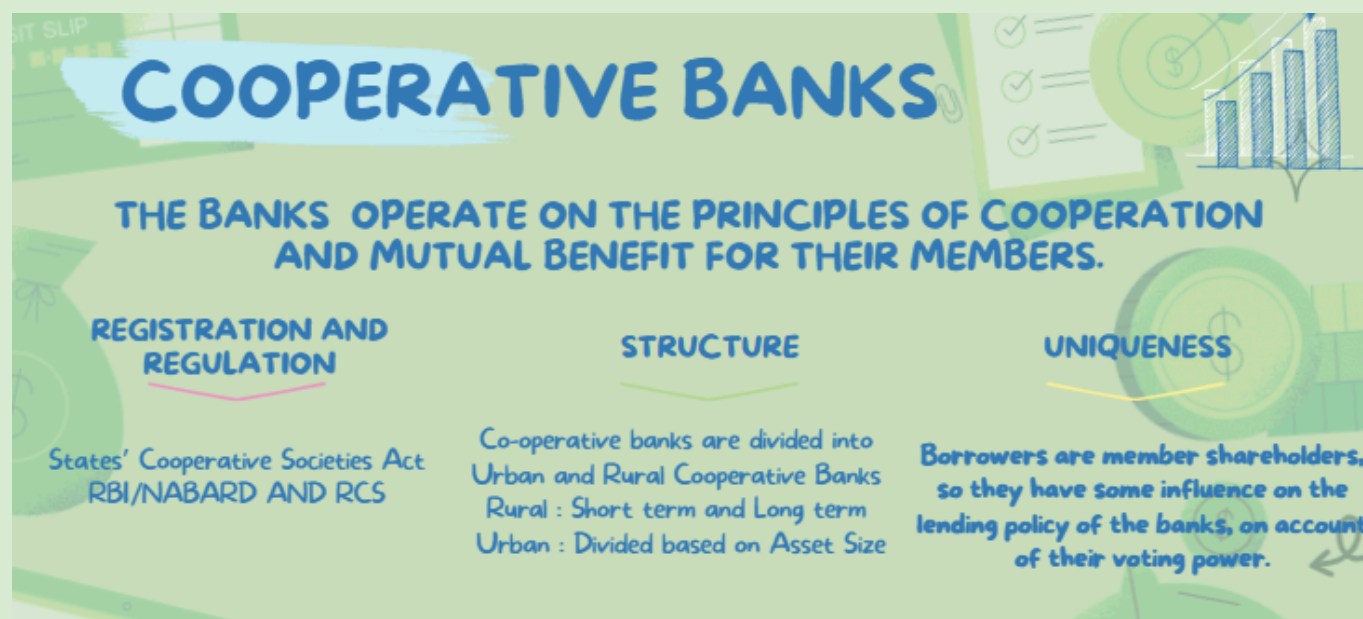
SL No.	RRB	State/UT	Head Office	Sponsor Bank
21	Punjab Gramin Bank	Punjab	Kapurthala	Punjab National Bank
22	Rajasthan Gramin Bank	Rajasthan	Jaipur	State Bank of India
23	Tamil Nadu Grama Bank	Tamil Nadu	Salem	Indian Bank
24	Telangana Grameena Bank	Telangana	Hyderabad	State Bank of India
25	Tripura Gramin Bank	Tripura	Agartala	Punjab National Bank
26	Uttar Pradesh Gramin Bank	Uttar Pradesh	Lucknow	Bank of Baroda
27	Uttarakhand Gramin Bank	Uttarakhand	Dehradun	State Bank of India
28	West Bengal Gramin Bank	West Bengal	Kolkata	Punjab National Bank

PSL Targets for Banks:

Bank Category	Target
Scheduled Commercial Banks (SCBs) & Foreign Banks (with 20+ branches)	40% of ANBC or CEOBE, whichever is higher
Foreign Banks (less than 20 branches)	40% of ANBC or CEOBE (export Credit: Minimum 32%, and non-
Regional Rural Banks (RRBs) & Small Finance Banks (SFBs)	75% of ANBC or CEOBE, whichever is higher

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Main Categories

1. Urban Cooperative Banks (UCBs)

- Operate in urban and semi-urban areas.
- Provide housing loans, personal loans, MSME credit, and deposits.
- Over 1,500 UCBs in India; 90%+ on Core Banking Solutions (CBS) (2024-25).
- Types:
- Scheduled UCBs – Listed in Second Schedule of the RBI Act, 1934.
- Non-Scheduled UCBs – Not listed but regulated by Reserve Bank of India.

2. Rural Cooperative Banks (RCBs)

- Serve agriculture and rural areas.
- (a) Short-Term Cooperative Credit Structure (3-Tier)
- State Cooperative Banks (SCBs) – Apex at state level.
- District Cooperative Central Banks (DCCBs) – District level; finance PACS.
- Primary Agricultural Credit Societies (PACS) – Village level; short-term loans (1–3 years).
- (b) Long-Term Cooperative Credit Structure (2-Tier)
- State Cooperative Agriculture and Rural Development Banks (SCARDBs) – Long-term credit (up to 25 years).
- Primary Cooperative Agriculture and Rural Development Banks (PCARDBs) – Medium and long-term loans to farmers and rural artisans.

Cooperative Banks Regulation

- Cooperative banks are regulated by multiple authorities, depending on their type and jurisdiction.
- RBI: Oversees banking operations under the Banking Regulation Act, 1949.
- NABARD: Supervises rural cooperative banks and provides refinance support.
- Registrar of Cooperative Societies (RCS): Handles registration and administrative control at the state level.
- Ministry of Cooperation (Government of India): Formed in 2021 to strengthen cooperative institutions across India.

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- Amendment to the Banking Regulation Act, 2020: Empowered RBI to exercise control over both urban and multi-state cooperative banks.
- Digitization Drive (NABARD, 2024): All cooperative banks to be fully digitized by March 2025, including PACS under Core Banking Solution (CBS). (Source: Business Standard, Nov 2024)
- Cooperative Policy Framework (2023): Proposed to streamline governance and accountability in cooperatives under a single code.



NATIONALISATION OF BANKS

Tier 1 with all unit UCBs and salary earner's UCBs (irrespective of deposit size) and all other UCBs having deposits up to Rs 100 crore.

Tier 2 with UCBs of deposits between Rs 100 crore and Rs 1,000 crore.

Tier 3 with UCBs of deposits between Rs 1,000 crore and Rs 10,000 crore.

Tier 4 with UCBs of deposits more than Rs 10,000 crore.

Tier 1 UCBs shall maintain a minimum CAR of 9 per cent of risk-weighted assets (RWAs) on an ongoing basis. Tier 2 to tier 4 UCBs shall maintain a minimum CAR of 12 per cent of RWAs

- PSL Targets for Urban Cooperative Banks (UCBs): Revised PSL target for UCBs reduced to 60% (from 75%) of Adjusted Net Bank Credit (ANBC) or Credit Equivalent of Off-Balance Sheet Exposure (CEOBE), whichever is higher.
- Note: ANBC is the total net bank credit after making necessary deductions and adjustments, and CEOBE is the amount representing the credit risk exposure of off-balance sheet items such as guarantees and letters of credit.

PSL Targets of Urban Co-operative Banks

- Evolution of PSL: Gadgil Committee (1969) proposed the 'Area Approach', leading to the Lead Bank Scheme (LBS) for regional credit planning.
- The Nariman Committee (1969) supported the Gadgil Committee's recommendations and recommended that each Public Sector Bank should adopt certain districts as 'Lead Banks' to boost PSL.
- PSL was formalized in 1972 based on the RBI's Informal Study Group's report (1971). Initially, no targets were set, but in 1974, banks were advised to raise PSL to 33.3% by 1979.
- Krishnaswamy Committee (1980) recommended a 40% PSL target by 1985, with sub-targets for agriculture and weaker sections.
- Usha Thorat Committee (2009) endorsed the continuation of the LBS for its role in the expansion of PSL.

Revised Priority Sector Lending (PSL) Guidelines, 2025

- Objective: Enhance financial inclusion, support education, renewable energy, housing, and rationalise targets for Urban Cooperative Banks (UCBs).
- 1. Higher Loan Limit for Education
- Earlier limit: ₹20 lakh per individual (Revised limit: ₹25 lakh per individual)
- Coverage: Loans for higher education, including overseas studies
- 2. Renewable Energy Loans

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- a. Project Loans
- Earlier limit: ₹30 crore per borrower (Revised limit: ₹35 crore per borrower)
- Eligible projects: Solar power, Biomass energy, Micro-hydel power plants
- b. Individual Household Loans
- Limit unchanged: ₹10 lakh per borrower
- Purpose: Rooftop solar systems and small renewable installations
- 3. Housing Sector – Enhanced Loan Limits
- Loan limits increased to promote affordable housing
- Special focus: Tier-III to Tier-VI cities
- Objective: Reduce urban housing shortage, Support inclusive urbanisation

Basis of Difference	Commercial Banks	Cooperatives Banks
Formed as	Joint-stock Banks.	Co-operative organizations.
Governing Act	Banking Regulation Act 1949.	Co-operative Societies Act of 1904.
Regulation	Subject to the control of the Reserve Bank of India directly.	Subject to the rules laid down by the Registrar of Co-operative Societies.
SLR and CRR Requirements	Relatively Higher.	Relatively Lower.
Services Offered	Larger scope in offering a variety of banking services.	Lesser scope in offering a variety of banking services.

SMALL FINANCE BANKS

- provide financial services to the unserved and unbanked region of the country.
- They are registered as a public limited company under the Companies Act, 2013.
- SFBs will be given scheduled bank status once they commence their operations, and found suitable as per Section 42 of the Reserve Bank of India Act, 1934.
- They work as Differentiated banks and do not possess Universal Bank license.

Small Finance Bank	Foundation Date
AU Small Finance Bank	1996
Capital Small Finance Bank	2000
Equitas Small Finance Bank	2007
ESAF Small Finance Bank	1992
Fincare Small Finance Bank	2007
Jana Small Finance Bank	2008
Northeast Small Finance Bank	2017
Shivalik SFB	2009
Suryoday Small Finance Bank	2005
Utkarsh Small Finance Bank	2009
Unity Small Finance Bank	2021
Ujjivan Small Finance Bank	2005

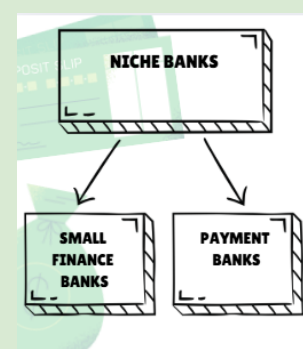
PAYMENT BANKS

A payments bank is like any other bank, but operating on a smaller scale without involving any credit risk.

It can accept demand deposits (up to Rs 2 lakh), offer remittance services, mobile payments/transfers/purchases and other banking services like ATM/debit cards, net banking and third-party fund transfers.

It does not issue loans and credit cards

widen the spread of payment and financial services to small business, low-income households, migrant labour workforce in secured technology-driven environment.



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Payment Banks in India

S. No.	Name	Headquarters
1.	Airtel Payments Bank Limited	New Delhi
2.	India Post Payments Bank Limited	New Delhi
3.	Fino Payments Bank Limited	Navi Mumbai
4.	Paytm Payments Bank Limited	Noida, UP
5.	Jio Payments Bank Limited	Navi Mumbai
6.	NSDL Payments Bank Limited	Mumbai

Criteria	Small Finance Banks	Payment Banks
Registration and Licensing	Registered under the Companies Act, and licensed under the Banking Regulation Act, 1949	Registered under the Companies Act, 2013, and licensed under the Banking Regulation Act, 1949
Eligibility	Resident Indians, Private Companies, Societies, NBFCs, MFIs, Local Area Banks	Pre-paid Payment Instrument (PPI) Providers, Resident individuals; NBFCs; Telecom Companies, super-market chains, public sector entities, etc.
Minimum Capital Requirements	₹200 crore	₹100 crores
FDI allowed	Yes. Up to 74%	Yes. Up to 74%
Accept Deposits	Yes.	Only Demand Deposits. No Fixed Deposits and NRI Deposits

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Criteria	Small Finance Banks	Payment Banks
Restrictions on Deposits	No Restrictions	Up to ₹2 Lakhs
Deposit Insurance Available?	Yes	Yes
Can Lend Loans	Yes. At least 50 percent of its loan portfolio should constitute loans and advances of up to ₹25 lakh.	No
Issue Debit/Credit Card	Can issue both Debit Cards as well as Credit Cards.	Only Debit Card. No Credit Card
Statutory liquidity ratio (SLR) and Cash Reserve ratio (CRR) applicable	CRR and SLR Applicable.	CRR Applicable; SLR: 75% of Net Demand and Time Liabilities (NDTL)

Criteria	Small Finance Banks	Payment Banks
BASEL Norms applicable	Yes. 15% of Risk Weighted Assets (RWAs)	Yes. 15% of Risk Weighted Assets (RWAs)
Priority Sector Lending (PSL) Norms applicable	Yes. Target: 75%.	No. Can't lend Loans

Universal bank criteria

- RBI's 2024 Guidelines for Converting SFBs into Universal Banks
- Eligible Applicants: Only listed Small Finance Banks (SFBs) are eligible to apply for conversion into a Universal Bank.
- Financial Requirements: Must have a minimum net worth of Rs 1,000 crore, scheduled bank status, and a profitable operational record for at least five years.
- Asset Quality Criteria: Must maintain gross NPAs below 3% and net NPAs below 1% consistently for the previous two years.

Neo Banks

A neobank is a kind of digital bank without any branches. Rather than being physically present at a specific location, neobanking is entirely online.

Bank License

don't have a bank licence of their own but rely on bank partners to offer licensed services.
RBI doesn't allow banks to be 100% digital yet.

Examples

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RazorpayX, Jupiter, Niyo, Open, etc are the examples of top Neobanks of India.

What is the '.bank.in' Domain and Why Are Banks Migrating to It?

- The '.bank.in' domain is a secure web domain mandated by the RBI and managed by IDRBT, exclusively for verified Indian banks. Unlike generic domains like ".com" or ".org," only verified banks can register under ".bank.in".
- This ensures authenticity and reduces the risk of customers falling prey to fraudulent or spoofed banking websites.
- Migration to this domain enhances credibility, makes websites easier to verify, and aligns with globally accepted banking cybersecurity practices.

Operating Models

- Non-licensed FinTech (Financial Technology) firms that collaborate with conventional banks
- Traditional banks that are undertaking their digital initiatives.
- Licensed neobanks (usually with digital banking licences in those countries that allow it).

Digital Bank

- Digital banks are often the online-only subsidiary of an established and regulated player in the banking sector; a neobank, on the other hand, exists solely online without any physical branches and independently or in partnership with traditional banks.